

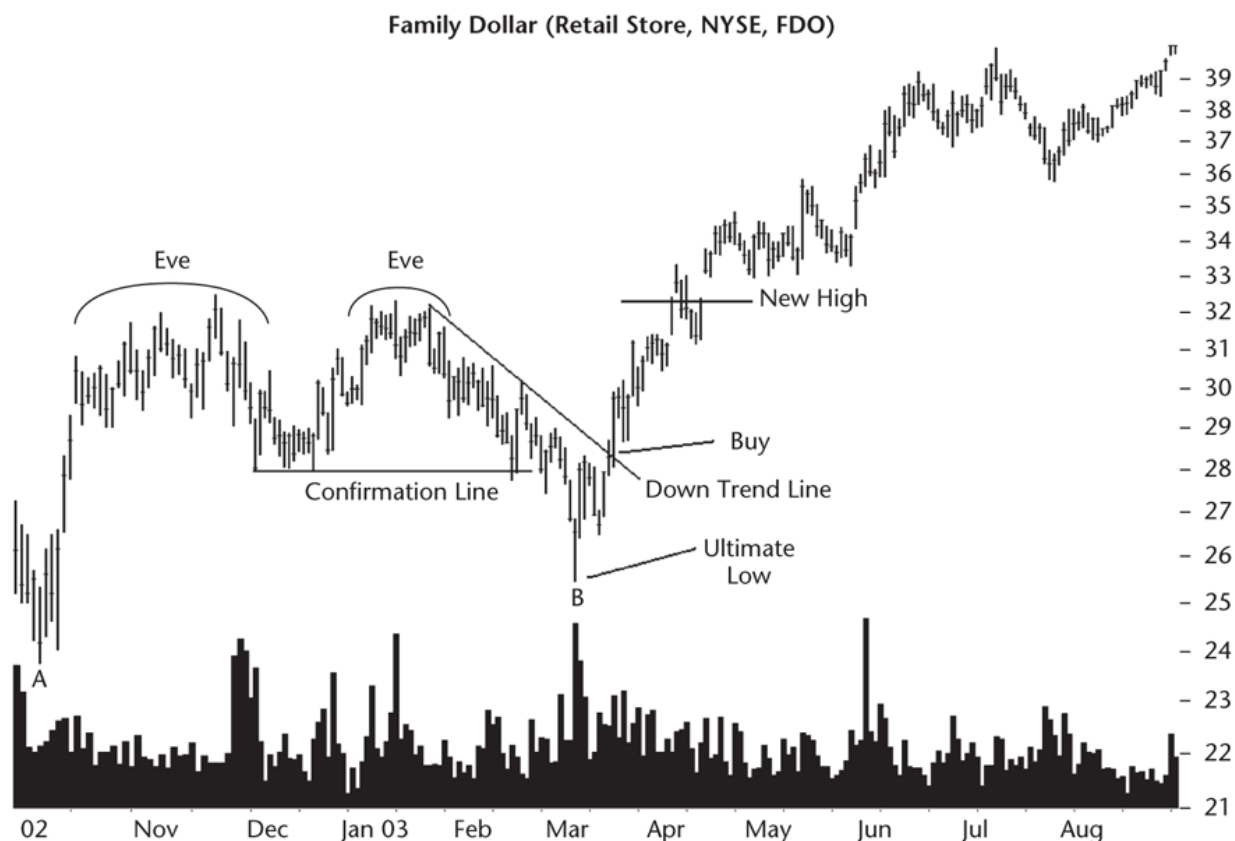


Figure 33.5 Consider buying the stock once the decline completes. Sometimes, the resulting rise can be quite profitable.

Before you trade this stock, ask yourself if it is an Eve & Eve double top. Running through the identification guidelines shown in [Table 33.1](#), we find that the price rise leading to the pattern begins at A (far left, bottom). Both peaks look similar in that they are wide and made of several short spikes—all characteristic of Eve tops. The left peak is more pointed but wider than the right one, but they look like two rounded hills on the price landscape.

The valley between the two peaks dips 14%, and the peaks top out at about the same price. The peak-to-peak separation measures 55 days or almost 2 months. Volume is heavier on the right peak than the left. Finally, the decline to the confirmation line is a straight-line run; price does not form a third peak. In short, this is a valid double top when price closes below the confirmation line.

How do you trade it? For this trade, imagine that you do not own the stock, nor do you want to sell it short. The S&P 500 index reached a low in October 2002 and bounced, forming a higher low in early March, right